Republic of Malawi
MINISTRY OF FINANCE

AUDIT COMMITTEE HANDBOOK

DECEMBER 2020

TABLE OF CONTENTS

1.0 PREFACE V

2.0 GLOSSARY OF TERMS V

1.0 INTRODUCTION 1

2.0 PURPOSE 1

3.0 DUTIES AND FUNCTIONS 1

4.0 FEATURES OF AN AUDIT COMMITTEE 2

5.0 BENEFITS OF THE COMMITTEE 2

6.0 COMPOSITION OF THE AUDIT COMMITTEE 3

7.0 SECRETARY TO THE AUDIT COMMITTEE 4

8.0 APPOINTMENT AND REMOVAL OF MEMBERS 4

9.0 APPOINTMENT AND THE ROLE OF THE CHAIRPERSON 5

10.0 THE ROLE OF THE CHAIRPERSON 5

11.0 COMMITTEE SUPPORT 7

12.0 DUTIES AND RESPONSIBILITIES OF MEMBERSHIP 8

13.0 MEETINGS 9

14.0 ACCESS AND AUTHORITY OF THE AUDIT COMMITTEE 11

15.0 CONTINUING TRAINING PROGRAMME 12

16.0 RELATIONSHIPS WITH OFFICERS 13

17.0 RELATIONSHIPS WITH OTHER OVERSIGHT BODIES 14

18.0 RELATIONSHIPS WITH LOCAL AUTHORITY INITIATIVES 16

19.0 RISK MANAGEMENT AND INTERNAL AUDIT 17

20.0 REPORTING AND MONITORING 17

21.0 EVALUATION AND SELF-ASSESSMENT 19

22.0 APPENDIX A: SUGGESTED TERMS OF REFERENCE FOR AUDIT COMMITTEES 21

23.0 APPENDIX B: AUDIT COMMITTEE REMIT 24

24.0 APPENDIX C: SAMPLE AUDIT COMMITTEE REPORT 25

25.0 APPENDIX D: CHECKLIST OF KEY QUESTIONS FOR AN AUDIT COMMITTEE TO ASK 31

An Audit Committee is essentially an oversight committee, for it is management who are responsible for the internal controls and the financial statements. The Committee, however, has to satisfy itself, on behalf of the board and ultimately the shareholders that key controls are operating, that ethical practices are being reinforced, that key accounting estimates and judgments are being properly made and that internal and external audits are effective.

Audit Committee Institute

1.0 PREFACE

The Audit Committee Handbook is intended to be a practical, user-friendly reference for both new and seasoned Audit Committee members, and for management and audit teams that work with the Audit Committee. To that end, the Audit Committee Handbook covers the fundamentals – e.g., basic requirements and responsibilities and key areas of oversight – and offers insights into the leading practices shaping Audit Committee effectiveness today.

This Handbook should be read in conjunction with the Internal Audit Charter for completeness.

2.0 GLOSSARY OF TERMS

Audit Certificate

The document which contains the opinion of the auditor of an organisation's accounts.

Audit Committee

Audit Committees monitor and review both the risk, control and governance processes that have been established in an organisation, and the associated assurance processes. This is done through a process of constructive challenge.

Best Value

To secure continuous improvement, by challenging their existing ways of delivering services, comparing their costs with other authorities and external bodies, consulting with consumers and stakeholders over the services that should be delivered and where appropriate subjecting services to competition from outside.

CIPFA

The Chartered Institute of Public Finance Accountants is a professional accountancy body which specialises in the Public Sector.

Corporate Governance

The framework that ensures that an organisation fulfils its overall purpose, achieves its intended outcomes for citizens and service users, and operates in an effective, efficient and ethical manner.

External Audit

External auditors check that the annual accounts of a public sector body properly reflect the financial year, funds were spent in accordance with relevant regulations or directions, and that the body achieves the best possible value for public money.

Internal Audit

Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations. It helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

Internal Control

The systems an organisation has in place to manage and mitigate risk

1.0 INTRODUCTION

1.1. The principles of accountability, transparency and openness are central to the work of the Local Authority and monitoring and auditing Local Authority functions and activities is critical to ensuring these values are upheld.

1.2. All Local Authorities should not only have Audit Committee mechanisms in place, but they should be committed to making sure that they are effective.

1.3. The requirement for an internal audit function is implied in Section 54 of the Local Government Act 1998, which requires that Local Authorities 'shall have an Internal Audit Department'. Further, the Public Finance Management Act (PFMA) 2003 as amended places in section 10 the responsibility of developing and maintaining an effective system of internal control and an effective internal audit function on the Controlling Officers. Currently, CEOs/DCs are controlling officers hence the need to comply with the PFMA.

2.0 PURPOSE

2.1. The purpose of an Audit Committee is to provide independent assurance of the adequacy of the risk management framework and the associated control environment, and to undertake independent scrutiny of the Local Authority's financial and non-financial performance to the extent that it affects the Local Authority's exposure to risk and weakens the control environment.

3.0 DUTIES AND FUNCTIONS

3.1. The recommended duties of an Audit Committee are set out in **Appendix A**. The delegated duties and remit of the Audit Committee closely follow these and are set out in full at **Appendix B.** A summary of key questions to be asked by the Audit Committee in discharging its responsibilities are outlined in **Appendix D.**

3.2. The Audit Committee exists to provide independent assurance that there are adequate controls in place to mitigate key risks and to provide assurance that the Local Authority, including the scrutiny function, is operating effectively.

4.0 FEATURES OF AN AUDIT COMMITTEE

4.1. CIPFA recognises that good Audit Committees will be characterised by:

a. a strong chair – displaying a depth of skills and interest;
b. unbiased attitudes – treating auditors, the executive and management equally;
c. the ability to challenge the executive (leader, chief executive or combination) when required; and
d. a membership that is balanced, objective, independent of mind, and knowledgeable.

4.2. Other features of an effective Committee include:

a. meetings are characterised by free and open discussions by all Members without political influences being displayed;
b. decisions are reached promptly, on all matters put before the Committee;
c. financial understanding is displayed by one or more of the Members when considering issues;
d. agenda papers are circulated far enough in advance of meetings to allow adequate preparation by Members; and
e. a role is displayed in monitoring and, where necessary, ensuring compliance with, audit recommendations.

5.0 BENEFITS OF THE COMMITTEE

5.1. Benefits to be gained from operating an effective Audit Committee include:

a. raising greater awareness of the need for internal control and the implementation of audit recommendations;
b. increasing public confidence in the objectivity and fairness of financial and other reporting;
c. reinforcing the importance and the independence of internal and external audit and any other similar review process; and
d. providing additional assurance through a process of independent and objective review.

6.0 COMPOSITION OF THE AUDIT COMMITTEE

The Audit Committee is independent of the organisation and objective in its consideration of the reports made to it.

6.1. An Audit Committee shall comprise at least three (3) members, all of whom must be non-public officers and independent, and not more than five members. The Chair of the Committee shall be independent and not the Chair of the Board. At least one member must have relevant qualifications and experience. The composition of the Audit Committee shall be in line with new revised Public Finance Management Act.

6.2. Members shall act and make decisions with an open and enquiring mind from their own perspective as an Audit Committee member while safeguarding the interests of the Local Authority that has appointed them. The required skill-set of the committee shall be reviewed periodically in light of the prevailing circumstances of the Local Authority.

6.3. From time to time, non-Committee members may be invited to attend meetings of the Committee, if it is considered appropriate.

6.4. Audit Committees shall review their composition periodically to confirm that members have the knowledge and experience they need to be effective.

6.5. As a collective, the Audit Committee shall have a good understanding of:

a. internal financial controls
b. external audit process
c. internal audit process
d. risk management
e. sustainability issues
f. integrated reporting, which includes financial reporting
g. governance of information and technology
h. the general governance processes within the Local Authority.

7.0 SECRETARY TO THE AUDIT COMMITTEE

7.1. The Internal Audit Department shall provide secretarial services to the Committee and hence the Head of Internal Audit shall be the Secretary of the Committee.

7.2. The Secretary shall be responsible for the preparation and circulation of meeting agendas and accurately minuting all decisions of the Committee in consultation with the Chairperson. The Secretary shall also be responsible for the timely tabling of all correspondence, reports and other information relevant to the Committee's activities and operations. The Secretary shall also assist with the drafting of the Committee's annual work plan in consultation with the Chairperson.

8.0 APPOINTMENT AND REMOVAL OF MEMBERS

8.1. The members and Chairperson of the Audit Committee shall be nominated by the Board of the Local Authority amongst the elected members themselves. Members shall serve until their successors are elected or until their earlier death, resignation or removal, with or without cause, in the discretion of the Board. In the event of a vacancy on the Audit Committee for any reason, the Board of the LA may elect a member (having the necessary qualifications) to fill the vacancy.

8.2. The appointment of an Audit Committee member shall be formalised in an official letter of appointment signed by the Chairperson of the Local Authority. The letter of appointment should include such matters as:

a. Duration of appointment
b. Role of the Audit Committee
c. Role and responsibly of the member
d. Confidentiality requirements (including media engagement)
e. Timing and location of meetings
f. Fees (if applicable)
g. Independence and conflicts of interest
h. Performance appraisal
i. Induction process
j. Termination of appointment/ resignation arrangements etc.

9.0 APPOINTMENT AND THE ROLE OF THE CHAIRPERSON

9.1. Effective leadership of the Audit Committee is critical to its acceptance as the provider of quality, independent advice. The Chairperson of the Committee shall:

a. be fully appreciative of the role and functions of the Committee;
b. possess sound communication and strong leadership skills; and
c. have and retain the full confidence and support of the Board of the Local Authority.

9.2. The Chairperson provides feedback to the Local Authority on the Audit Committee's composition and organisation. Specifically, the Chairperson shall be in a position to:

a. provide clarification to members on the Audit Committee's responsibilities;
b. plan and manage the Audit Committee meetings;
c. oversee the provision of briefing to the Audit Committee in advance of meetings, where necessary;
d. develop the effectiveness of the Audit Committee; and
e. seek to demonstrate the value of internal audit to the organisation.

9.3. The Chairperson of the Audit Committee shall be selected by the Committee, and consistent with best practice, shall be one of the external members.

9.4. An outgoing Chairperson shall ensure that the new Chairperson is sufficiently briefed to assume the role of the chair.

9.5. The Chairperson shall ensure that the Audit Committee has the appropriate skills and knowledge.

10.0 THE ROLE OF THE CHAIRPERSON

10.1. The role of the Chair of the Audit Committee goes beyond chairing meetings. Indeed, it is key to achieving Committee effectiveness. Key activities in addition to Committee meetings shall include the following:

a. before each meeting the Chair and the Committee Secretary shall meet to discuss and agree the business for the meeting. The Chair shall take ownership of, and have final say in, the decisions about what business will be pursued at any particular meeting.
b. meeting time shall be optimised by making sure that all agenda papers are issued in good time and then having each paper summarised outlining the

key points, cross referred to the organisational business and risk agenda and stating what action the Committee is required to take.

c. the Chair shall ensure that after each meeting appropriate reports are prepared from the Audit Committee to the Board and CEO/DC. An annual report to the Board shall also be provided.

d. the Chair shall have bilateral meetings at least annually with the CEO/DC, the Head of Internal Audit and the External Auditor, and with the Chair of the Board. In addition, the Chair shall meet any people newly appointed to these positions as soon as practicable after their appointment.

e. the Chair shall also ensure that all Committee members have an appropriate programme of engagement with the LA and its activities to help them understand the organisation, its objectives, business needs and priorities.

f. encouraging good, open relationships between the Audit Committee, CEO/DC, Director of Finance and Internal and External auditors. There are a number of ways that a Chair can encourage this:

    I. promoting audit issues internally with relevant Board members and other directors to make sure they appreciate the value of audit;

    II. holding managers within the organisation to account for the implementation of all audit recommendations; and

    III. calling appropriate business heads to meetings, for example, to explain how they are delivering their agreed actions on risks for which they are responsible.

10.2. The profile of the Audit Committee can be raised to support and add weight to audit work by:

a. arranging separate meetings for the Chair, independent members and internal and external auditors to help members establish open working relationships

b. arranging meetings with the Chair, internal auditors, and the Director of Finance in the weeks leading up to the Committee meeting to discuss areas for the agenda and papers that should be provided; and

c. arranging meetings with the internal auditors (and possibly external auditor) immediately before the Audit Committee meeting to help give focus to discussions

10.3. The Chair shall ensure that there is an appropriate process between meetings for action points arising from Committee business to be appropriately pursued. The Chair shall also ensure that members who have missed a meeting are appropriately briefed on the business conducted in their absence. Chairs may choose to rely on the Secretariat to take these actions.

10.4. **Appraisal:** The Chair shall take the lead in ensuring that Committee members are provided with appropriate appraisal of their performance as a Committee member and that training needs are identified and addressed. The Chair shall seek appraisal of his/her performance from the Chair of the Board.

10.5. The Chair shall ensure that there is a periodic review of the overall effectiveness of the Audit Committee and of its terms of reference.

10.6. **Appointments:** The Chair shall be involved in the appointment of new committee members, including providing advice on the skills and experience being sought by the Committee when a new member is appointed.

10.7. The Chair shall also be actively involved in the appointment of the Head of Internal Audit.

11.0 COMMITTEE SUPPORT

11.1. The Secretariat shall be able to support the Chair of the Committee(s) in identifying business to be taken, and the relevant priorities of the business. The Chair of the Committee and the secretariat shall agree procedures for commissioning briefing to accompany business items on the Committee's agenda and timetables for the issue of meeting notices, agendas, and minutes. The Chair of the Committee shall always review and approve minutes of meetings before they are circulated.

11.2. The specific responsibilities of the Audit Committee Secretariat shall include:

a. meeting with the Chair of the Committee to prepare agendas for meetings;
b. commissioning papers as necessary to support agenda items;
c. circulating meeting documents in good time before each meeting;
d. arranging for senior management to be available as necessary to discuss specific agenda items with the Committee during meetings;
e. keeping a record of meetings and providing draft minutes for the Chair's approval;
f. ensuring action points are being taken forward between meetings;
g. support the Chair in the preparation of Audit Committee reports to the Board;
h. arranging the Chair's bilateral meetings with the CEO/DC, the Head of Internal Audit, the External Auditor, and with the Chair of the Board;
i. keeping the Chair and members in touch with developments and relevant background information about developments in the LA;
j. maintaining a record of when members' terms of appointment are due for renewal or termination;

k. ensuring that appropriate appointment processes are initiated when required;
l. ensuring that new members receive appropriate induction training, and that all members are supported in identifying and participating in ongoing training; and
m. managing budgets allocated to the Audit Committee.

11.3. When the Audit Committee decides to meet privately, the Chair shall decide whether the secretariat members should also withdraw. If so, the Chair shall ensure that an adequate note of proceedings is kept to support the Committee's conclusions and advice.

12.0 DUTIES AND RESPONSIBILITIES OF MEMBERSHIP

Each member of the Audit Committee is appointed to serve a critical role in ensuring the Local Authority has effective and robust processes in place regarding internal control, risk management, compliance, ethics and financial disclosures.

12.1. **Independence and objectivity**. Independence is one of the cornerstones of the Audit Committee's effectiveness, particularly when overseeing areas where informed judgments are required.

12.2. Audit Committee members shall be capable of communicating with management and the auditors and be ready to challenge and ask probing questions about the Local Authority's risk management and control systems, accounting and corporate reporting.

12.3. **Performance**. All Committee members are expected to attend each meeting in person and a member shall be disqualified if he or she attends less than 75% of meetings per year and the absence is not due to an acceptable reason such as illness or force majeure. In such a case, the Chairperson shall inform the member in writing of his or her disqualification.

12.4. In addition, in order for the Committee to function effectively, each member shall review the briefing provided in advance of meetings and participate constructively in meetings.

12.5. **Conflicts of interest**. Audit Committee members shall declare any matter in which they have an interest. Each member of the Committee shall take personal responsibility for declaring proactively at the outset of each meeting any potential conflict of interest relating to business arising on the Committee's agenda or from changes in the member's personal circumstances. If it is the Chairperson that has a conflict of interest, the Board shall ask another member of the Committee to lead in determining the appropriate course of action. A key factor in determining the course of action is the likely duration of the conflict of interest: a conflict likely to endure for a long time is more indicative that the member should step down.

12.6. **Confidentiality**. All information acquired by a member of an Audit Committee during the course of his/her membership of the Committee shall be confidential to the Local Authority and shall not be released to third parties, either during the member's term of appointment or afterwards, without the permission of the Chairperson.

12.7. **Payment of fees/allowances.** External Audit Committee members generally serve in a voluntary capacity. The payment of fees/allowances for membership of the Audit Committee is a matter for the Local Authority concerned. However, in setting any such fees/allowances, consideration should be given to the standard fees/allowances applicable to audit committees of Central Government Ministries/Departments as well as the financial capacity of the individual Local Authorities.

12.8. It should be noted that fees/allowances are only payable to external members. Fees/allowances cannot be paid to serving civil or public servants or public sector employees.

12.9. Where the Local Authority feels that it is appropriate to pay an allowance to attract personnel with appropriate skills, there shall be a clear link between any fees paid and attendance at Audit Committee meetings.

13.0 MEETINGS

13.1. The Audit Committee shall meet at least quarterly, preferably in conjunction with regular LA meetings by elected members. Meetings may, at the discretion of the Audit Committee, include members of management, independent consultants, and such other persons as the Audit Committee shall determine. The Audit Committee, in discharging its responsibilities, may meet privately for advice and counsel with independent consultants, lawyers, or any other persons, knowledgeable in the matters under consideration.

13.2. A majority of the members of the entire Audit Committee shall constitute a quorum. The Audit Committee shall act on the affirmative vote of a majority of members pres-

ent at a meeting at which a quorum is present. Without a meeting, the Audit Committee may act by unanimous consent, in writing or by electronic transmission, of all members. However, the Audit Committee may delegate to one or more of its members the authority to grant pre-approvals of audit and permitted non-audit services, provided the decision is reported to the full Audit Committee at its next scheduled meeting.

13.3. Audit committees should consider ways to implement or enhance practices that will help them conduct effective meetings. Each committee should consider what is most effective for its circumstances, but certain practices are valuable for most.

13.4. **Calendar**. As noted above, Audit Committees can use the Charter to create a calendar outlining what will be covered during each meeting over the course of a year. This can help confirm that required matters are addressed and allow the Chairperson to determine whether meetings are frequent and long enough to cover the necessary topics.

13.5. **Meeting Agendas**. Once the annual calendar is established, the Chairperson and management can create meeting agendas that focus on critical risks and priority areas. The agendas should be flexible enough to address any issues that may arise during the year and allow time for critical discussion by Committee members. The Chairperson should consider how to prioritize agenda items so the Committee allocates appropriate time to high- priority topics. A well-planned and -managed agenda will help the Committee stay focused.

13.6. Consider allocating time on the agenda for educational topics or more in-depth discussions to help Committee members stay informed of risks and issues affecting the Local Authority. These educational sessions can be led by management or involve external specialists.

13.7. **Meeting Materials**. As the demands on Audit Committees increase, it is important for meeting materials to contain information that facilitates discussion and effective decision making. Advance materials should be provided to the Audit Committee well ahead of meetings and include executive summaries that help members understand risks and issues. Materials should clearly identify the actions to be taken by the Committee.

13.8. **Meeting Attendees and Discussions**. The Chairperson should work with management to determine who should attend each meeting. Although it is important to have the right subject-matter resources in attendance, the Chairperson should keep the meetings small enough to encourage candid discussions. Each attendee should have a role and contribute to the overall goals of the meeting.

13.9. Critical discussion and engagement in meetings should be encouraged by the Chairperson and members should come prepared, having read all advance materials and

prepared questions for management. The Chairperson should keep the discussion focused on important topics and reprioritize the agenda if necessary.

13.10. **Executive Sessions**. Executive sessions allow the Audit Committee to meet privately with key members of executive management (e.g., the CEO/DC, DOA and DOF), the independent auditor, and the Head of Internal Audit. They provide an opportunity to discuss sensitive issues that may not be appropriate in a larger meeting. Executive sessions often occur after regular business portion of the meeting and should be held even if there are no specific topics to discuss. This practice helps keep the lines of communication open between the Audit Committee and its stakeholders. Some Audit Committees also meet privately in advance of meetings, to discuss the agenda and priorities, and after meetings and executive sessions to debrief, outline actions, and consider future agenda topics.

13.11. The Chairperson of the Audit Committee shall report to the elected members of the LA who shall constitute the Board on the Committee's determinations and shall present recommendations for approval whenever necessary or desirable.

14.0 ACCESS AND AUTHORITY OF THE AUDIT COMMITTEE

14.1. A good relationship between the Local Authority and the Audit Committee, as well as with management and auditors, is important. Maintaining the balance between a good working relationship and the necessary requirements of robust oversight is at the heart of the Audit Committee role. The mutual value that is to be gained from maintaining an effective relationship should not be overlooked.

14.2. The Audit Committee may request the attendance of the CEO/DC, the external auditor, staff of the Internal Audit Department and other staff as required. Best practice has identified that annual separate meetings with each are effective and as such the Committee shall meet separately at least annually with the external auditor, the Internal Audit Department and the CEO/DC.

14.3. The CEO/DC has a key role in supporting the effectiveness of the Audit Committee. This may be achieved by the Audit Committee meeting formally with him or her on an annual basis or, in addition, requesting briefings on certain matters from time to time. It may also be beneficial for the Chairperson to meet the CEO/DC after each Audit Committee meeting to discuss the key issues of the discussion and to request any follow-up action as appropriate. Equally, it may be determined that there is value in the Chairperson meeting the CEO/DC at the end of the year to review the performance and achievements of the Committee during the year and to discuss the key issues and focus of the Audit Committee for the coming year.

14.4. From time to time it may be beneficial for the Audit Committee to meet senior staff of the Local Authority, including the Head of Finance, for briefing or clarity on issues arising.

14.5. The external auditor and the Audit Committee should have a strong relationship. Open, regular, frank and confidential dialogue will allow the Committee to utilise the technical knowledge and experience of external audit in assessing, for example, the quality of the Local Authority's control system and financial reports.

14.6. While in a local authority context the internal audit function reports to senior management on a day-to-day basis, Audit Committees have a responsibility for oversight and therefore need to determine appropriate communication channels and reporting arrangements with internal audit. The Audit Committee shall have processes in place to ensure confidential exchanges with the internal auditor, with regular meetings scheduled. The Committee shall concentrate on gaining assurance that the Local Authority's risk management, control and governance arrangements are adequate and effective. For this purpose, the Committee shall ensure that there is an adequate system to monitor the implementation of agreed internal audit recommendations and actions.

14.7. Where advice is required in relation to a matter that is being considered by the Audit Committee and is sufficiently material to warrant the services of a specialist consultant external to the Local Authority, the Audit Committee may request the CEO/DC and the Chairperson to make such expert assistance available.

14.8. **Qualified Privilege**. Members of the Audit Committee are entitled to qualified privilege in relation to any statement made at any meeting that the member attends in his or her capacity as a member of an Audit Committee.

14.9. **Protected Disclosures**. Audit Committees shall have in place arrangements for dealing with cases where general staff members wish to raise issues directly with the Audit Committee. In general, Audit Committees shall publish their policy on the procedures for submitting such reports and the process by which any such reports will be considered.

15.0 CONTINUING TRAINING PROGRAMME

15.1. **Customized continuing training program**. An increasingly popular option is a customized program of continuing training focused on topics relevant to the Audit Committee. These topics could encompass Audit Committee roles and responsibilities, including internal control over financial reporting and risk oversight; accounting issues

such as revenue recognition, pension and other post-retirement employment benefits, and critical accounting policies; public sector reforms; and regulatory updates. Customized sessions can address subjects relevant to the Local Authority's needs and incorporate Local Authority-specific policies, processes, and objectives.

15.2. When designing a training program, management and the Audit Committee shall consider the risks and complex issues facing the Local Authority. Once a curriculum is set, the Board, the Audit Committee, and management can assess the resources available to create and deliver the program. The program can feature a mix of individuals: some within the Local Authority and others who can provide an external perspective. Sessions can be delivered during regularly scheduled Audit Committee meetings or in special sessions.

15.3. As part of this program, Audit Committees often benefit from periodically inviting subject-matter specialists to participate in Audit Committee meetings to enhance the members' knowledge. For example, specialists in cyber risk, governance, or a particular industry can provide valuable insight in identifying and addressing risks or new requirements. Independent auditors or outside consultants can assist in identifying appropriate specialists.

15.4. **New member onboarding**. In addition to continuing training, the Board, in collaboration with management, may consider conducting one or more onboarding sessions for new Audit Committee members. Sessions can be tailored to the new member's background and experience but can include an overview of the Local Authority, including its operations; policies; financial risks; corporate governance requirements and practices; Audit Committee responsibilities, including oversight of accounting policies and practices; and public sector reforms. Onboarding sessions may include other Audit Committee members, the CEO/DC, the finance team, internal audit, and the independent auditors.

16.0 RELATIONSHIPS WITH OFFICERS

16.1. **Director of Finance:** The Finance Director's key role is maintaining strong financial management underpinned by effective financial controls. The Committee may need advice from the Director of Finance on most, if not all, of the matters taken to it. Thus, the Director of Finance will normally be expected to attend all meetings to fulfil this function which, in turn, will give the Committee additional credibility.

16.2. Planned, regular, interaction between the Director of Finance and the Audit Committee is set out in the table below.

	Director of Finance	Audit Committee
Annual accounts and their audit	Closure of accounts in accordance with policies, standards etc., and liaison with External Audit	Receipt and review, on behalf of the Council (and the public), of audit certificate and annual report
Internal and External Audit reports	Provide technical advice and support to the Committee as required	Independent scrutiny of reports and follow through of recommendations

16.3. **Chief Executive Officer/District Commissioner and Directors/Heads of Service:** Directors and Heads of Service are accountable to Members for the running of their Directorates and therefore for addressing the findings of audit reports. In addition, they are responsible for signing off the action plans for implementing audit recommendations and as such may be invited to the Audit Committee to discuss any audit matters relating to their areas of control.

16.4. The Chief Executive Officer/District Commissioner has the role of maintaining the strategic link between Elected Members and all other parties who may attend Audit Committee meetings. The Head of Internal Audit will have direct and unequivocal access to the Chief Executive Officer/District Commissioner.

17.0 RELATIONSHIPS WITH OTHER OVERSIGHT BODIES

17.1. **Internal Audit Definition:** Internal auditing is an independent, objective assurance and consulting activity designed to add value and improve an organisation's operations. It helps an organisation accomplish its objectives by bringing a systematic, disciplined approach to evaluate and improve the effectiveness of risk management, control and governance processes.

17.2. **Internal Audit's Relationship with the Audit Committee:** The shared interests of the Committee and Internal Audit mean that there needs to be an effective working relationship between them. There are three elements to that relationship:

a. the approval (but not direction) of, and monitoring of progress against, the Internal Audit Charter and Annual Plan;
b. using the results of Internal Audit's work to satisfy some of the Audit Committee's objectives (and vice versa); and

c. aligning the operations of the Committee and Internal Audit, as far as possible without compromising their individual responsibilities, to make best use of resources.

17.3. To facilitate the work of the Committee, the Head of Internal Audit shall:

a. attend its meetings, and contribute to the agenda;
b. participate in the Committee's review of its own remit and effectiveness;
c. ensure that it receives, and understands, documents that describe how Internal Audit will fulfil its objectives (for example, compliance with the Public Sector Internal Audit Standards, annual work programmes, progress reports);
d. report the outcomes on internal audit work, in sufficient detail to allow the Committee to understand what assurance it can take from that work and/ or what unresolved risks or issues it needs to address;
e. establish if anything arising from the work of the Committee requires consideration of changes to the audit plan, and vice versa; and
f. present an annual internal audit report including an overall opinion on the control environment, the extent to which the audit plan has been achieved, and a summary of any unresolved issues.

17.4. **External Audit Definition:** External Audits have a different focus from Internal Audit; they report to external stakeholders in addition to officers and Members of the Local Authority. They also have to communicate relevant matters relating to the audit of the financial statements to those charged with governance.

17.5. The differences between internal and external audit are shown in the table below.

Internal	External
Main concerns: effectiveness of internal controls and value-for-money	Main concerns: accuracy of final accounts, value-for-money and best value
Not a statutory function in Malawi. Set up by and reports to management	Set up by Statute
Responsible to management and only indirectly to Members, Local Authority rate payers etc.	Responsible to the ultimate 'owners' of the organisation
Available during Local Authority business hours	Audits an organisation for a set period of time each year, unless requested to perform a special audit

Internal	External
Good knowledge of Local Authority systems and personnel	High-level knowledge of systems and personnel, but better knowledge of broader legislative rules and regulations
Detailed audits. Using systems approach. Low level materiality limits	Broad audits. Concentrates on material items and as per set materiality thresholds

17.6. **External Audit's Relationship with the Audit Committee:** The Audit Committee shall be required to:

a. review the external audit plan;
b. review the arrangements for ensuring that there is effective liaison between Internal and External Audit;
c. review all matters relating to external audit, including audit planning, action points and all relevant external audit reports received by the Local Authority, including national reports, where appropriate;
d. review the audit certificate, and any matters reported from the audit of the annual accounts; and
e. review the monitoring and implementation of External Audit recommendations, and ensure that management takes appropriate action to implement the agreed recommendations.

18.0 RELATIONSHIPS WITH LOCAL AUTHORITY INITIATIVES

18.1. **Corporate Governance Definition:** Corporate Governance is the system by which local authorities direct and control their functions and relate to their communities, and incorporates the way in which a Local Authority manages its business, determines strategy and objectives and goes about achieving those objectives. It is concerned with structures and processes for decision-making, accountability, control and behaviour at the upper levels of the organisation.

18.2. Three fundamental principles of corporate governance apply equally to all public sector bodies – openness, integrity and accountability.

18.3. **The Role of the Audit Committee:** Audit Committees have a key role to play in corporate governance and should be clearly integrated into the Local Authority's gover-

nance framework. This includes consideration of the effectiveness of the Local Authority's scrutiny arrangements and response to best value duties.

18.4. **Risk Management Definition:** Risk can be defined as the combination of the probability of an event and its consequences. In all types of undertakings, there is the potential for events and consequences that constitute opportunities for benefit (upside) or threats to success (downside).

18.5. Risk management is a planned and systematic approach to identifying, evaluating and responding to risks and providing assurance that responses are effective.

18.6. Internal control and risk management are increasingly recognised as important elements of good corporate governance, and it is expected that all Local Authorities develop and maintain robust systems for identifying and evaluating all significant risks.

18.7. **The Role of the Audit Committee:** To ensure that the Local Authority has an appropriate corporate risk management strategy drawn up, and that risk management procedures are properly carried out. The Committee should continually challenge and review the risk management arrangements, to ensure that there is a robust system in place for identifying and managing those threats which could have a significant impact on the successful delivery of the Local Authority's objectives.

18.8. The Committee should be provided with regular reports on the risk management process, in order to be able to fulfil their risk management responsibilities.

19.0 RISK MANAGEMENT AND INTERNAL AUDIT

19.1. The Internal Audit section has responsibility for including any areas of significant risk in its internal audit work plans. The Internal Audit Department should give assurances on the evaluation of risk and the risk management process, including reviewing the management and reporting of risks. Internal Audit should not undertake imposing the risk management process, setting the risk appetite, and actually managing risks and taking risk decisions.

20.0 REPORTING AND MONITORING

The Audit Committee should seek to be comprehensive, transparent and robust in meeting its reporting obligations.

20.1. **Report on the Committee's findings in relation to the audited financial statement or auditor's report.** The Committee shall consider the audited financial statement and auditor's report or special report at the next meeting of the Committee following their receipt. The auditor who conducted the audit is required to attend the meeting of the Committee where the reports shall be discussed. The Committee shall then be required to report formally to the Board of the Local Authority on its findings. In doing so, the Audit Committee shall identify any matters in respect of which it considers that action or improvements are needed, and how management has responded to any issues arising, and make recommendations as to the steps to be taken.

20.2. **Audit Committee's Annual Report**. The Audit Committee shall prepare and submit a report to the Board on its activities and findings during that year within three months of the end of the year. The report shall also include the Committee's assessment of its own effectiveness and performance in so far as it relates to the work programme agreed by the Board. Matters relating to any training and any challenges or obstacles that the Committee has encountered shall be included.

20.3. An Audit Committee Report shall further include dashboard reports on current activities, annual plan changes, the status of the annual audit plan, and red-flag items or concerning trends. Also, an Audit Committee report shall include the internal audit staff requirements, impact of limited resources and budget-cost comparison for the year. The Audit Committee report shall include the results of any special investigations and a scorecard for department performance. The Board will expect to see summaries on quarterly reports that have the most findings and other aggregated reports.

20.4. Finally, Audit Committee reports shall include information on monitoring and follow-up activities and the financial values of any issues of fraud. A sample format of the Audit Committee Report is in **Appendix C.**

20.5. The report shall be formally submitted to the Board and the CEO/DC on the agreement of the Committee.

20.6. The Committee's report shall be considered at a meeting of the Board and the Chairperson of the Committee shall address the Board and provide any clarity that the Board may seek in relation to the report. There is significant value for the Board in taking the opportunity to discuss with the Committee Chairperson the activities and findings of the Committee. The Committee provides an independent service to the Board and it is to the Board's benefit to develop a strong relationship in that regard. It is suggested that it may be practical for the Board to also consider the draft work programme for the forthcoming year at that meeting.

20.7. **Other reporting.** There is no statutory requirement for the Audit Committee to report more than annually to the Board. However, there may be benefit in the Board receiving an update on progress against the work programme targets midway through the year to allow for additional engagement and to build the relationship with the Board and increase the Board's awareness in relation to the work of the Committee.

20.8. **Internal Audit Report**. A written report shall be prepared and issued by the Head of Internal Audit or designee following the conclusion of each internal audit engagement (assurance) and will be distributed as appropriate. Internal audit results shall also be communicated to the Board.

21.0 EVALUATION AND SELF-ASSESSMENT

21.1. The Audit Committee shall strive to achieve best practice in its performance and in this instance the Audit Committee shall undertake a review of its own effectiveness annually. This review shall assess its performance and achievements against its Charter and the annual work programme. The aim of this assessment is to ensure that the Audit Committee is meeting its objectives efficiently and effectively. The findings of the self-assessment shall be included in the annual report of the Committee that is presented to the Local Authority. Views of relevant stakeholders shall be sought to inform this review.

21.2. Factors often considered when evaluating the Audit Committee's effectiveness include:

a. Independence of the Audit Committee members from management
b. Fulfillment of the Audit Committee's role, including what is outlined in its Charter
c. Articulation of the Committee's responsibilities and the degree to which they are understood by management, the independent and internal auditors, and the Committee

d. Interaction among the Committee and the independent auditor, the internal auditors, and senior finance staff

e. Whether the Committee raises the right questions with management and the independent and internal auditors, including questions that indicate the Committee's understanding of critical accounting policies and judgments and that challenge management's judgments and conclusions

f. Whether the Committee has been responsive to issues raised by the independent and internal auditors.

21.3. Because there are no specific requirements for how to assess an Audit Committee's performance, members shall have the benefit and the burden of collaborating on an appropriate process. This can be done in consultation with legal counsel, the independent auditor, or third- party facilitators.

21.4. Where the assessment highlights a need for enhancements of the role, operational processes or membership of the Committee, the Chairperson shall take action to ensure that such enhancements are implemented. The Chairperson of the Committee may need to consult with the CEO/DC or the Chair of the Local Authority to obtain appropriate support to ensure all enhancements are implemented.

21.5. The close link between improving and enhancing performance and effectiveness and the ongoing training needs of members of the Committee should be noted. The provision of appropriate training as required is core to maximising the achievements and effectiveness of the Audit Committee.

21.6. **Conducting the Assessment.** The assessment can be led by a variety of parties, including the Committee itself, the entire Board or independent consultant. Audit committees may find it useful to engage an objective third party to assist with the evaluation process, or a combination of these options may prove optimal. For example, a committee may choose to engage a third party every two or three years and facilitate the process internally in other years.

21.7. **Format and Documentation**. The format may consist of evaluation forms, interviews, or both. The party leading the evaluation may also consider soliciting information from individuals who have significant interaction with the Audit Committee, including management. The Committee may want to consider changing the process periodically to keep it fresh.

21.8. Because the evaluation may contain information that is critical of the Committee or its practices, Committees shall seek legal advice about the level of documentation that should be provided and retained.

21.9. **Addressing the Results**. The results should be presented in a private session limited to Audit Committee members. This allows the Committee to discuss the findings and

develop a plan for improvement, which is the ultimate objective of the assessment. A performance evaluation may highlight the need to examine issues such as the Audit Committee's composition and qualifications, information related to critical financial reporting areas, members' understanding of complex accounting and financial reporting issues, and meeting agendas.

21.10. As part of its procedures to test internal control over financial reporting, the independent auditor considers the effectiveness of the Audit Committee's oversight of financial reporting. The results of the Audit Committee's self-assessment can support those procedures.

21.11. A summary of self assessment and evaluation of effectiveness is presented below.

Self-Assessment and Evaluation of Effectiveness

Review and approve the Audit Committee Charter and align activities with a calendar that incorporates required activities and allows flexibility for additional topics

Develop meeting agendas in consultation with management; resist the urge to repurpose existing agendas without discussion

Align audit committee meeting materials and agendas with priority areas

Distribute briefings and other materials well in advance of meetings

Reports should include executive summaries that highlight issues and critical discussion points to allow for discussion versus presentation during meetings

Manage meeting attendees to allow open and candid discussions

Perform a robust self-assessment annually

Discuss the results of the self-assessment with the Audit Committee in an executive session and develop tactical actions to address findings.

22.0 APPENDIX A: SUGGESTED TERMS OF REFERENCE FOR AUDIT COMMITTEES

This Appendix contains suggested Terms of Reference Audit Committees for Local Authorities.

Where the terms of reference refer to internal audit, regard should be given as to how the internal audit charter has allocated responsibilities to the Committee. Some of the internal audit responsibilities identified in the terms of reference may not be carried out by the Audit Committee, but by others.

SUGGESTED TERMS OF REFERENCE – LOCAL AUTHORITIES

Statement of Purpose

The Audit Committee is a key component of the Local Authorities' corporate governance. It provides an independent and high-level focus on the audit, assurance and reporting arrangements that underpin good governance and financial standards.

The purpose of the Audit Committee is to provide independent assurance to the stakeholders[1] of the Local Authority of the adequacy of the risk management framework and the internal control environment. It provides independent review of the Local Authorities' governance, risk management and control frameworks and oversees the financial reporting and annual governance processes. It oversees internal audit and external audit, helping to ensure efficient and effective assurance arrangements are in place.

Governance, Risk and Control

To review the Local Authority's corporate governance arrangements against the good governance framework and consider annual governance reports and assurances.

a. To review the Annual Governance Statement prior to approval and consider whether it properly reflects the risk environment and supporting assurances, taking into account internal audit's opinion on the overall adequacy and effectiveness of the Local Authority's framework of governance, risk management and control.
b. To consider the council's arrangements to secure value for money and review assurances and assessments on the effectiveness of these arrangements.
c. To consider the Local Authority's framework of assurance and ensure that it adequately addresses the risks and priorities of the Local Authority.

1 Shall include elected members, citizens, central government, etc.

d. To monitor the effective development and operation of risk management in the Local Authority.
e. To monitor progress in addressing risk-related issues reported to the Committee.
f. To consider reports on the effectiveness of internal controls and monitor the implementation of the agreed actions.
g. To review the assessment of fraud risks and potential harm to the Local Authority from fraud and corruption.
h. To monitor the counter-fraud strategy, actions and resources.

Internal Audit

a. To approve the Internal Audit Charter.
b. To review proposals made in relation to the appointment of external providers of internal audit services and to make recommendations.
c. To approve the risk-based internal audit plan, including internal audit's resource requirements, the approach to using other sources of assurance and any work required to place reliance upon those other sources.
d. To approve significant interim changes to the risk-based internal audit plan and resource requirements.
e. To make appropriate enquiries of both Management and the Head of Internal Audit to determine if there are any inappropriate scope or resource limitations.
f. To consider reports from the Head of Internal Audit on internal audit's performance during the year, including the performance of external providers of internal audit services, if any. These will include:

    I. Updates on the work of internal audit including key findings, issues of concern and action in hand as a result of internal audit work.
    II. Regular reports on the results of the Quality Assurance and Improvement Programme.
    III. Reports on instances where the internal audit function does not conform to the Public Sector Internal Audit Standards considering whether the non- conformance is significant enough that it must be included in the Annual Governance Statement.

g. To consider the Head of Internal Audit's Annual Report:

    I. The statement of the level of conformance with the Public Sector Internal Audit Standards and the results of the Quality Assurance and Improvement Programme that supports the statement – these will indicate the reliability of the conclusions of internal audit.
    II. The opinion on the overall adequacy and effectiveness of the Local Authority's framework of governance, risk management and control

together with the summary of the work supporting the opinion – these will assist the Committee in reviewing the Annual Governance Statement.

h. To consider summaries of specific internal audit reports as requested.
i. To receive reports outlining the action taken where the Head of Internal Audit has concluded that management has accepted a level of risk that may be unacceptable to the Authority or there are concerns about progress with the implementation of agreed actions.
j. To contribute to the Quality Assurance and Improvement Programme and in particular, to the external quality assessment of internal audit that takes place at least once every five years.
k. To consider a report on the effectiveness of internal audit to support the Annual Governance Statement.
l. To support the development of effective communication with the Head of Internal Audit.

External Audit

a. To consider the external auditor's Management Letter, relevant reports, and the report to those charged with governance.
b. To consider specific reports as agreed with the external auditor.
c. To comment on the scope and depth of external audit work and to ensure it gives value for money.
d. To commission work from internal and external audit.
e. To advise and recommend on the effectiveness of relationships between external and internal audit and other inspection agencies or relevant bodies.

Financial Reporting

a. To review the annual statement of accounts. Specifically, to consider whether appropriate accounting policies have been followed and whether there are concerns arising from the financial statements or from the audit that need to be brought to the attention of the Local Authority.
b. To consider the external auditor's report to those charged with governance on issues arising from the audit of the accounts.

Accountability Arrangements

To report to those charged with governance on the Committee's findings, conclusions and recommendations concerning the adequacy and effectiveness of their governance, risk management and internal control frameworks; financial reporting arrangements, and internal and external audit functions.

To report to the elected members of the Local Authority on a regular basis on the Committee's performance in relation to the terms of reference and the effectiveness of the Committee in meeting its purpose.

23.0 APPENDIX B: AUDIT COMMITTEE REMIT

To act as the Audit Committee of the Local Authority within the remit and powers as set out in detail in the Audit Committee Handbook approved by the Local Authority, and including:

a. Considering the overall adequacy and effectiveness of the Local Authority's framework of governance, risk management and control arrangements, including the associated anti-fraud and anti-corruption arrangements;
b. Undertaking regular scrutiny of the Local Authority's risk register and challenging the effectiveness of the risk mitigations put in place by risk owners to reduce the risks in line with the Local Authority's risk tolerance;
c. Receiving and considering the Local Authority's unaudited Annual Accounts (including the statements which form part of the Annual Accounts) as submitted to the auditor by the Director of Finance (unless received and considered by all the elected members of the Local Authority);
d. Receiving and considering the Annual Report on the Audit, prior to its submission to all the elected members of the Local Authority for information;
e. Receiving, considering and approving the audited Annual Accounts (including the statements which form part of the Annual Accounts) unless received, considered and approved by all the elected members of the Local Authority, and in so doing to have regard to any report made or advice provided on the Annual Accounts by the appointed auditor;
f. Ensuring that any issues arising from the process of drawing up, auditing and certifying the Annual Accounts are properly dealt with;
g. Undertaking the same role and remit as set out in paragraphs (c), (d), (e) and (f) above in relation to the Annual Accounts of charitable trusts administered by the Local Authority and of which Councillors are Trustees;
h. Receiving and reviewing summary Internal Audit reports and the main issues arising, and seek assurance that action has been taken where necessary;
i. Receiving the annual report of the Head of Internal Audit and monitoring the performance of the Internal Audit Department;
j. Receiving and considering all reports of the external auditors, including reports relating to charitable trusts administered by the Local Authority and of which Councillors are Trustees; and
k. Monitoring management action in response to the issues raised by the external auditors.

24.0 APPENDIX C: SAMPLE AUDIT COMMITTEE REPORT

.....COUNCIL

AUDIT COMMITTEE REPORT FOR THE YEAR ENDED 30 JUNE 20XX

1. Legislative Requirements

The purpose of this report is to communicate to the Council the Audit Committee's progress to date in carrying out its oversight responsibilities in terms of section 54 of the Local Government Act, and the new Public Finance Management Act 2020.

Section 54 of the Local Government Act 1998, requires that Local Authorities should establish an Internal Audit Department. Further, the new Public Finance Management Act (PFMA) 2020 places in section 16 the responsibility of developing and maintaining an effective system of internal control and an effective internal audit function on the Controlling Officers. Currently, CEOs/DCs are controlling officers hence the need to comply with the PFMA. The new PFMA obliges every Ministry, Department and Agency to establish an independent audit committee, which must perform the functions and exercise such powers as are imposed or conferred on the Committee under this Act.

The Audit Committee is governed by formal terms of reference, which are regularly reviewed and approved by the Board of the Council. The Committee is pleased to present its report for the financial year ended 30 June 20XX.

2. Audit Committee Members and Attendance

The Audit Committee was established in accordance with section 54 of the Local Government Act and section 117 of the new PFMA 2020. The Audit Committee Charter requires that the audit committee comprises a minimum of three members and a maximum of five members, of whom the majority must not be in the employ of the Council.

The Audit Committee comprises xxxx members, including the Chair, Dr/Mr/Ms xxxxx. In terms of of the Audit Charter, the Audit Committee must meet at least four times a year. During the financial year ended 30 June 20XX, the Audit Committee met on xxxxxx occasions. The table below shows the attendance of these meetings:

Name	Date of appointment	Qualifications	Number of meetings scheduled	Number of meetings attended
Mr xxxx (chair)				
Mr xxxx				
Ms xxxx				
Ms xxxx				
Mr xxxx				

The members of the Audit Committee held meetings with the Chief Executive Officer as the Controlling Officer, the Board of Directors of the Council, senior management of the Council, the Head of Internal Audit and the external auditors, collectively and individually, on matters related to governance, internal control and risk in the Authority, throughout the reporting period. The Committee also held a meeting with the honourable Mayor and the executive committee of the Council to report on governance, internal control, risk, performance and financial information and other relevant matters concerning the Council.

3. Audit Committee's Responsibility

The Audit Committee has complied with its responsibilities arising from section 117 of the PFMA, and reports that it operated in terms of the Internal Audit Charter.

4. Effectiveness of Internal Control

The Audit Committee acknowledges management's efforts to strengthen internal controls in the Council. The Audit Committee is concerned that in certain instances the matters reported by the external auditors and the internal audit function in prior years have not been fully and satisfactorily addressed. Management has given assurance that effective corrective action will be implemented in respect of all internal control weaknesses, and the Audit Committee will monitor these going forward.

Vacancies undermine the effective functioning of the system of internal control and it is imperative that management reviews its recruitment procedures and processes to ensure that vacancies are filled expeditiously with properly qualified, skilled and experienced personnel.

The Council has adopted aggressive anti-corruption measures to curb the frequency and magnitude of fraud and corruption. The Audit Committee is not completely satisfied with

the prevention of fraud and these concerns have been raised with management. The Audit Committee has requested that a detailed fraud prevention plan and progress reports on the action plans for addressing the fraud risks be tabled at each quarterly meeting of the Audit Committee.

Due to the strategic importance of, and investment in, the modernisation of information and communication technology (ICT) in the Council, the Audit Committee has monitored the risk register and progress reports on the respective action plans during the year under review. The Audit Committee remains concerned that not all ICT risks are being addressed or mitigated, in implementing the new systems.

5. The Quality of Monthly and Quarterly Reports submitted in terms of the PFMA and Local Authorities Accounting and Financial Management Procedures Manual

The Audit Committee is satisfied with the content and quality of monthly and quarterly reports prepared and issued during the year under review in compliance with the statutory and regulatory framework. The Audit Committee has engaged with management to remedy shortcomings, especially relating to the reports on performance against predetermined objectives. The Committee has recommended that specific process be implemented to ensure that the information reported is both useful and reliable in terms of the applicable reporting framework.

The Audit Committee has recommended that the Council prepare interim financial statements that comply with Standards of Generally Accepted Accounting Practice (GAAP), which could assist in performing reconciliations timeously as well as in eliminating year-end adjustments.

The Audit Committee has reviewed and commented on the Council's annual financial statements and report on performance information and their timely submission to the external auditors by 30 September.

6. Internal Audit Function

The Controlling Officer is obliged, in terms of section 117 of the PFMA, to ensure that the Council has a system of internal audit under the control and direction of the Audit Committee. The Audit Committee is satisfied that the internal audit function has properly discharged its functions and responsibilities during the year under review.

The capacity of the internal audit function has been enhanced through the redesign of the internal audit process, employment of additional personnel and investment in an intensive training programme. The Audit Committee expects these initiatives to contribute to the internal audit function becoming more efficient, more responsive to challenges and better able to provide audit reports of a high quality to management and the Committee on a timely basis. The Audit Committee supports the direction that the internal audit function is adopting in providing the necessary skills and agility required for the function to respond quickly and effectively to the demands for internal audit across the Council's various locations. The inter-

nal audit capacity was enhanced through co-sourcing parts of the internal audit function to xxxxx Auditors.

The recent appointment of specialist ICT auditors is a welcome development in light of the need for expertise in the auditing of automated systems and the development and maintenance of a system of continuous auditing.

In terms of the risk-based audit plan approved by the Audit Committee, the internal audit function has performed 12 of the 15 planned engagements, with the others being postponed due to logistical and capacity constraints within the internal audit function and at management level in the Council. The internal audit function found that the control environment as a whole was effective; however, some specific control weaknesses were identified in asset management, procurement and revenue management, for which recommendations were made for improvement.

The Audit Committee is satisfied that the internal audit function maintains an effective internal quality assurance and programme that covers all aspects of the internal audit activity. The internal assessment indicates that all significant areas of non-conformance identified in the previous year's external quality assessment review have been rectified and thus a generally "conforms rating" can be applied to the internal audit work and the term "Conforms with the International Standards for the Professional Practice of Internal Auditing" may be used by the function.

7. Risk Management Function

The Audit Committee is responsible for the oversight of the risk management function. The Audit Committee is concerned with the risk function being understaffed, which will result in non-delivery by the function if the situation is not addressed. The Committee has reviewed the risk register and is generally satisfied with the maturity of the risk management process.

8. Evaluation of the Finance Function

As the Director of Finance was only appointed on 1 March 20XX, the finance function could not perform at its optimal capacity with the vacuum that existed in the leadership. Prior to the appointment of the Director of Finance, there was a huge strain on the finance function to deliver quality information on a timely basis.

On the whole, the Audit Committee is satisfied with the Council's finance function during the year under review.

9. Performance Management

Part of the responsibilities of the Audit Committee includes the review of performance management. The Audit Committee has in terms of the performance of the Council performed the following functions:

- Review and comment on compliance with statutory requirements and performance management best practices and standards.
- Review and comment on the alignment of the integrated development plan, budget, service delivery and budget implementation plan and performance agreements.
- Review and comment on the relevance of indicators to ensure that they are measurable and relate to services performed by the Council.
- Review of compliance with in-year reporting requirements.
- Review of the quarterly performance reports submitted by the internal audit function.
- Review and comment on the Council's performance management system and making recommendations for its improvement.

24.1. The Audit Committee is satisfied that the performance report has been prepared in terms of the PFMA, and the related Regulations.

10.Fraud and Irregular Activities

The Audit Committee considered the quarterly reports from the independent forensic experts hired by the Council on the investigations conducted, the nature of the incidents and the outcomes of the investigations. The anonymous fraud hotline introduced in prior years has enhanced incident reporting, and enabled the reporting of incidents by communities and external parties. As a result of these initiatives, there has been a significant increase in the number of reported incidents. Assurance has been obtained from the Council that it has the capacity to respond to the items being reported.

The forensic report has emphasised on fruitless and wasteful expenditure, irregular expenditure and supply chain management deviations. The investigations also included instances of non compliance with the Public Procurement and Disposal of Asset Act which prohibits of officials employed by the Council from doing business with the Council.

11.Evaluation of the Annual Financial Statements

The Audit Committee has reviewed the annual financial statements, which focused on the following:

- Significant financial reporting judgments and estimates contained in the annual financial statements.
- Clarity and completeness of disclosures and whether disclosures made have been set properly in context.
- Quality and acceptability of, and any changes in, accounting policies and practices.
- Compliance with accounting standards and legal requirements.
- Significant adjustments and/or unadjusted differences resulting from the audit.
- Reflection of unusual circumstances or events and management's explanation for the accounting treatment adopted.

- Reasons for major year-on-year fluctuations.
- Asset valuations and revaluations.
- Calculation and levels of general and specific provisions.
- Write-offs and reserve transfers.
- The basis for the going concern assumption, including any financial sustainability risks and issues.

Except for the matters identified by the external auditors in the auditor's report, the Audit Committee is comfortable that the annual financial statements have been prepared in terms of GAAP and the PFMA and accompanying regulations.

12.External Auditor's Report

The Audit Committee concurs with and accepts the conclusion and audit opinion of the external auditors on the annual financial statements. The Committee is of the view that the audited financial statements be accepted and read together with the report of the external auditors. The Audit Committee confirms that it has been actively involved throughout the audit process and has been thoroughly appraised of the issues giving rise to the audit opinion.

The Audit Committee also concurs with the material findings on the reported performance information and compliance with legislation.

The Committee is comfortable that given the implementation of effective and efficient controls, these matters should be adequately dealt with in future periods.

The external audit function, performed by the Auditor General is independent of the Council. The Audit Committee has met with the external auditors to ensure that there are no unresolved issues and acknowledges the diligence and cooperation of the external audit team.

On behalf of the Audit Committee

Ms. xxxxxxxxxxxx
Chairperson of the Audit Committee
30 November 20XX

25.0 APPENDIX D: CHECKLIST OF KEY QUESTIONS FOR AN AUDIT COMMITTEE TO ASK

This list of questions is not intended to be exhaustive or restrictive nor should it be treated as a tick list substituting for detailed consideration of the issues it raises. Rather it is intended to act as a "prompt" to help an Audit Committee ensure that their work is comprehensive.

On the strategic processes for risk and control, how do we know that:

- the risk management culture is appropriate?
- the Board has clearly articulated and communicated its risk appetite?
- there is a comprehensive process for identifying and evaluating risk, and for deciding what levels of risk are tolerable?
- the Risk Register is an appropriate reflection of the risks facing the LA?
- appropriate ownership of risk is in place?
- management has an appropriate view of how effective the control environment is?
- risk management is carried out in a way that really benefits the LA or is it treated as a box ticking exercise?
- the organisation as a whole is aware of the importance of risk management and of the organisation's risk priorities?
- the system of control will provide timely indicators of things going wrong?

On risk management processes, how do we know:

- how senior management and central government support and promote risk management?
- how well people are equipped and supported to manage risk well?
- that there is a clear risk strategy and policies?
- that there are effective arrangements for managing risks?
- that the organisation's processes incorporate effective risk management?
- if risks are handled well, considering:
  - key strategic risks can change very quickly?
  - scenario planning and stress testing?
  - 'bubbling under' risks?
- the risk focus is wide enough?
  - considers 'external and emerging risks'?
  - reviews 'financial' risks and 'non-financial' risks?

- if risk management contributes to achieving outcomes?
- that management are regularly reviewing top risks?

On the planned activity and results of both internal and external audit work, how do we know that:

- the internal audit strategy is appropriate for delivery of reasonable assurance on the whole of risk, control and governance?
- the internal audit plan will achieve the objectives of the internal audit strategy, and in particular whether it is adequate to facilitate reasonable assurance on the key risks facing the organisation?
- internal audit has appropriate resources, including skills, to deliver its objectives?
- internal audit takes appropriate account of other assurance activity, and that this assurance is understood and owned by management?
- internal audit recommendations that have been agreed by management are actually implemented?
- any issues arising from line management not accepting internal audit recommendations are appropriately escalated for consideration?
- the quality of internal audit work is adequate? / what does application of the Internal Audit Quality Assessment Framework tell us about the quality of the internal audit service?
- there is appropriate co-operation between the internal and external auditors?
- the CEO/DC and Board have taken all necessary steps to make themselves aware of any relevant information and that auditors are aware of that information?

On financial management, the accounting policies, the accounts, and the annual report of the LA, do we know:

- how effective and accurate budgeting and in-year forecasting is?
- the finance section is fit for purpose?
- what the "hidden" financial risks are, relating to (inter alia):
    - Taxes?
    - Human Resource?
    - Budget Overruns?
    - Sudden loss of funding/revenue?
- that the accounting policies in place comply with relevant requirements, particularly the Local Authorities Accounting and Financial Management Procedures Manual?
- there has been due process in preparing the accounts and annual report and that process is robust?
- that the accounts and annual report have been subjected to sufficient review by management and by the CEO/DC and / or Board?
- that when new or novel accounting issues arise, appropriate advice on accounting treatment has been gained?
- that there is an appropriate anti-fraud policy in place and that losses are suitably recorded and responded to?
- that suitable processes are in place to ensure ac-

curate financial records are kept?
- that suitable processes are in place to ensure fraud is guarded against and regularity and propriety is achieved?
- that financial control, including the structure of delegations, enables the LA to achieve its objectives with good value for money?
- if there are any issues likely to lead to qualification of the accounts?
- if the accounts have been qualified, that appropriate action is being taken to deal with the reason for qualification?
- that issues raised by the External Auditors are given appropriate attention?

On the adequacy of management response to issues identified by audit activity, how do we know that:

- the implementation of recommendations is monitored and followed up?
- there are suitable resolution procedures in place for cases when management reject audit recommendations which the auditors stand by as being important?

On assurances relating to the corporate governance requirements for the organization, how do we know that:

- corporate governance arrangements operate effectively and are clear to the whole organisation?
- the Governance Statement appropriately discloses action to deal with material problems?
- the Board is appropriately considering the results of the effectiveness review underpinning the annual Governance Statement?
- the range of assurances available is sufficient to facilitate the drafting of a meaningful annual 'Governance Statement'?
- those producing the assurances understand fully the scope of the assurance they are being asked to provide, and the purpose to which it will be put?
- effective mechanisms are in place to ensure that assurances are reliable and adequately evidenced?
- assurances are 'positively' stated (i.e. – premised on sufficient relevant evidence to support them)?
- the assurances draw appropriate attention to material weaknesses or losses which should be addressed?
- the annual 'Governance Statement' realistically reflects the assurances on which it is premised?

On the work of the Audit Committee itself, how do we know:

- that we are being effective in achieving our terms of reference and adding value to corporate governance and control systems of the organisation?
- that we have the appropriate skills mix?
- that we have an appropriate level of understanding of the purpose and work of
- the organisation?
- that we have sufficient time to give proper consideration to the business?
- that our individual members are avoiding any conflict of interest?
- what impact we are having on the LA?

With support rendered by the
United States Agency for International Development (USAID) and the
Foreign, Commonwealth and Development Office (FCDO), through the
Local Government Accountability and Performance (LGAP) project.